Values in Finance

Table 1

The Different Kinds of	Stocks	Bonds
Book Value	The value of a company's assets minus its liabilities. It represents the theoretical value of a share if the company were liquidated.	Not applicable to bonds.
Face Value/Par Value/Nominal Value	The given value of a share, typically with little relevance in modern markets. Historically, it represented the initial price of the stock.	The amount the bond issuer promises to repay the bondholder at maturity.
Intrinsic Value	An estimate of a stock's true value based on its underlying fundamentals, such as earnings, assets, and growth potential.	The present value of future cash flows (coupon payments and principal) from the bond, discounted at a rate reflecting the bond's risk and interest rates.
Market Value	The present price at which a share is traded on the stock exchange.	The price at which a bond is being traded. This can fluctuate based on interest rates, credit risk, and market conditions.
Net Asset Value (NAV)	The value of a company's total assets minus its liabilities, often used for mutual funds and exchange-traded funds (ETFs). Represents the per-share value of the fund's holdings.	Not applicable to individual bonds, but can be relevant for bond funds.
Premium/Discount Value	Not directly applicable to stocks, but refers to a stock trading above (premium) or below (discount) its intrinsic value.	Refers to a bond trading above (premium) or below (discount) its face value.
Present Value	The value of a future stream of cash flows (dividends for stocks) discounted at a rate reflecting the risk and time value of money.	The present value of future cash flows (coupon payments and principal) from the bond, discounted at a rate reflecting the bond's risk and prevailing market interest rates.
Principal Value	Not applicable to stocks.	The amount of money originally invested in the bond or the amount outstanding at a particular time.